

Standard Chartered Plc (HK) (2888)

Navigating geopolitical headwinds, positioning for medium-term growth

We expect STAN to face near-term share price pressure as heightened geopolitical risk weighs on sentiment, given its UAE exposure, accounting for 2.4% of Group assets and 5.6% of revenue in 2025, higher than HSBC's Middle East footprint of 2.0%/3.8% (Table 1-Table 3). Despite this headwind, our medium- to long-term outlook remains constructive. Following STAN's 4Q25 results ([link](#)), we hosted a Hong Kong NDR, where management emphasized both structural and cyclical drivers underpinning deposits, wealth, and flow-based FM income. We have upgraded our stated EPS and ROTE forecasts for 26e-28e. Key upcoming catalysts include Hong Kong's stablecoin license announcement in March and STAN's Investor Day in May, where STAN will outline new medium-term targets for total return and ROTE.

- **Key takeaways from HK NDR are positive:** Asia-based investors are primarily focused on revenue potential rather than cost. Key positives include: **1)** Management elaborated on the growth drivers for Wealth and FM income. **2)** The flattish NII expectation is mainly due to the disposal of the unsecured personal lending portfolio, which costs 2% of NII, leading to potential tailwinds to asset quality. **3)** Management remains committed to a positive jaw and provided examples of investment for growth and future cost savings. **4)** STAN's management expects progressive DPS trends; and **5)** Additional insights on Mox, Trust, and Zodiac, which may be undervalued in STAN's current valuation.
- **Strong client demand for geographic and asset class diversification continues to support structural Wealth income growth** (+24% y/y in 2025, 3Y CAGR 20%). STAN acquired \$52bn in affluent NNM in FY25 (14% of AUM), with 270k new-to-bank (NTB) affluent clients. Company analysis suggests that NTB growth in 2H25 will continue to drive Wealth income and deposit growth in 2026.
- **Structural factors to drive Financial Markets (FM) business:** Management expects robust FM flow-based income growth (+15% in 2025, 6Y CAGR 11%) to continue, supported by structural factors including an acceleration in RMB internationalization in 2025 as highlighted in Table 5, and increasing corporate demand for diversifications for market, supply chain, and currency; as well as cyclical factors, such as strong HK IPO activity stipulating corporate wealth management demand.
- **EPS upgrades:** We raise stated EPS by 5%/2%/2% for FY26-28E, driven by revenue, which is forecast to grow at a 5% CAGR from 25-28E, led by non-NII (+11% y/y in 26E) and NII growth in the outer years. We forecast stated ROTE at 12.8% in 26E (vs >12% target), rising to 14.8% in 28E. Distribution forecasts remain largely unchanged, with a dividend payout ratio of 35% and annual buybacks of \$2bn, resulting in a total payout ratio of ~70% and a total yield of 7-8% per annum.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Overweight

2888.HK, 2888 HK

Price (27 Feb 26): HK\$198.50

▲ **Price Target (Dec-26): HK\$270.00**
Prior (Dec-26): HK\$265.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	2.42	2.27	-5.9%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	2.18	2.27	2.73

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	46	36	31	32	32
Growth	23	41	66	21	79
Momentum	5	22	9	11	56
Quality	36	71	69	38	83
Low Vol	28	26	22	35	62

See page 16 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



— 2888.HK Price (HK\$) — HSI (rebased)

	YTD	1m	3m	12m
Abs	5.1%	0.6%	18.4%	62.7%
Rel	1.2%	2.4%	15.8%	50.4%

Company Data

Shares O/S (mn)	2,322
52-week range (HK\$)	206.00-86.25
Market cap (\$ mn)	58,916
Exchange rate	7.82
Free float (%)	100.0%
3M ADV (mn)	0.99
3M ADV (\$ mn)	23.9
Volatility (90 Day)	28
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	11,185	11,205	11,451	11,927
Non interest income	9,709	10,743	11,652	12,368
Operating expenses	(12,347)	(13,305)	(13,325)	(13,706)
Adj. PPOP	8,547	8,643	9,778	10,590
Provision for loan losses	(676)	(903)	(1,032)	(1,160)
Adj. PBT	7,900	7,789	8,793	9,474
Adj. net income	5,244	5,042	5,842	6,328
Adj. EPS	2.18	2.27	2.73	3.08
BBG EPS	-	-	-	-
DPS	0.61	0.80	0.96	1.08
Loans	286,788	298,353	310,550	323,457
Deposits	530,161	570,805	604,501	632,344
Total Assets	919,955	957,380	996,748	1,038,413
Margins and Growth				
NIM	2.0%	1.9%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	54.1%	52.3%	51.4%	51.2%
NPL / Loans	2.1%	2.0%	2.0%	1.9%
Coverage	51.8%	51.8%	51.8%	51.8%
CET 1	14.1%	13.8%	13.9%	14.0%
Non-int. income/ Income	46.5%	48.9%	50.4%	50.9%
Cost/Income	59.1%	60.6%	57.7%	56.4%
LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.4%)
ROA	0.6%	0.5%	0.6%	0.6%
ROE	11.5%	10.7%	12.0%	12.4%
Valuation				
Dividend yield	2.4%	3.1%	3.8%	4.2%
Adj. P/E	11.6	11.2	9.3	8.3
P/ BV	1.2	1.1	1.1	1.0

Summary Investment Thesis and Valuation

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast c5% revenue growth CAGR across '25-28E driven by non-NII in 26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26E y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at a c3.5% CAGR 25-28E as we expect growing investments in the future to capitalise on productivity and revenue opportunities, with positive operating leverage expected annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to c15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y.

Our Dec-26 PT of HK\$270 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 11.9% and a cost of capital of 9.3%.

Performance Drivers

Market	29%
Region	10%
Macro	20%
Style	2%
Idiosyn.	37%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.52	0.57
Region: Hong Kong	0.35	0.42

Macro:		
HSI Volatility Index	-0.52	-0.49
US 10 Year Yield	0.22	-0.33
Generic 1st 'CO' Future	0.10	0.31

Quant Styles:		
Quality	0.01	-0.13
Momentum	0.07	0.09
Growth	-0.02	0.03

Quantifying Middle East exposure

STAN discloses exposure to the UAE (Table 1) rather than to the Middle East region. Aside from UAE, we do expect STAN to have exposure in other ME countries, such as Saudi Arabia and Qatar. Disclosed data shows STAN has higher exposure to UAE than peers like HSBC. Among STAN's UAE exposure, 73% is to government or public entities as well as to banks, thus we believe risk is manageable.

Table 1: STAN's exposure to the UAE

In US\$ mn; as of 2025	Total assets	Total loans (gross)	Revenue
STAN Group	919,955	349,586	20,894
of which: UAE	22,065	8,715	1,173
% of Group	2.4%	2.5%	5.6%

Source: Company report.

Table 2: STAN UAE credit exposures breakdown

Asset classes (In AED mn; as of 2Q25)	Total credit exposures amount	% of total
Sovereigns and their central banks	24,192	24%
Public Sector Entities	3,930	4%
Multilateral development banks	219	0%
Banks	45,774	45%
Securities firms	281	0%
Corporates	16,560	16%
Regulatory retail portfolios	3,443	3%
Secured by residential property	5,589	6%
Secured by commercial real estate	34	0%
Equity Investment in Funds (EIF)	0	0%
Past-due loans	449	0%
Higher-risk categories	0	0%
Other assets	1,026	1%
Total	101,496	100%

Source: STAN UAE Pillar 3 report as of 2Q25.

Table 3: HSBC's exposure to the Middle East

In US\$ mn; as of 2025	Total assets	Total loans (gross)	Revenue	ECL allowance	LLR/Loan
HSBC Group	3,233,034	999,091	68,274	10,692	1.1%
HSBC Middle East Ltd	64,295	23,372	2,610	753	3.2%
% of Group	2.0%	2.3%	3.8%	NA	NA
of which: UAE		20,809			
% of Group		2.1%			

Source: Company report.

Key takeaways from Hong Kong NDR

We hosted STAN's Hong Kong NDR on Feb 26th-27th and our key takeaways are positive.

Positioned for structural growth opportunities

- Management believes STAN is well positioned to benefit from ongoing geopolitical shifts and the strong demand for diversification across manufactures (market diversification of US+1), customers (supply chain diversification of China+1), and investors (asset diversification of USD+1), given its unique global network and strong presence in the global South.

Revenue growth is driven by non-NII

- Management clarified that the 5-7% revenue growth is a historical range but not necessarily a target range for the future. The FY26 income growth guidance is at the lower end of 5-7%, but this is subject to revision as more quarters unfold.
- STAN guides largely flattish NII in 2026, with strong deposit growth offset by anticipated rate cuts (44bps assumed in STAN's blended yield curve), a smaller structural hedge than peers, and a ~2% drag from the sale of unsecured personal lending portfolio in WRB (c4bps impact on NIM).
- Mortgage demand in HK is picking up, but management views mortgages primarily as a wealth tool rather than an NII driver. With NII expected to be flat, non-NII will need to deliver double-digit growth to achieve the targeted c5% overall income growth. The main drivers are wealth (high returns, low capital consumption), financial markets (sustainable double-digit growth in flow income), and global banking (strong pipeline into early 2026).

Structural demands drives double digit expansion in Wealth

- Management sees structural diversification trends in wealth as a net benefit for STAN, given its footprint in a politically fragmented world.
- **Management highlighted strong leading indicators in wealth business:** Net new money was \$52bn in FY25, implies a robust 14% growth in AUM, and new-to-bank (NTB) affluent clients totaled 270k in FY25, with 73k added in 4Q25, up from 67k in 3Q25.
- **Deposits expansion sets a solid base for growth:** Group deposits grew 12% y/y, with HK deposits up 13-14% in 2025, outpacing the industry (12%). Management emphasized deposit margins, especially for mass and affluent clients, are not necessarily less than wealth product margins. So the key is clients to entrust their money with STAN and there will always be opportunities of upselling. Management noted stable vintage trends, with certain quarters of lag time between new account opening and accounts being fully funded. So the strong momentum in NTB clients gives comfort on the sustainability of wealth business.
- The NNM growth is diversified, with the majority from Hong Kong and Singapore followed by Dubai and the UK. Domestic clients contributed ~30% of net new money.
- The structural need for Chinese clients to seek higher yield and diversify offshore remains strong, while global Indian and ASEAN clients also contribute to robust wealth growth. So management is not concerned on near-term cyclical factors such as RMB appreciation or domestic equities revival.
- Digital capacity improvements have enabled faster AUM and client growth relative to RM headcount, with technology driving higher client DIY engagement.

Robust business growth in Financial Markets

- Within financial markets, flow income has been growing at a c10% CAGR, driven by increased hedging demand as supply chain is moving South with larger exposure to emerging market currency. Management also mentioned ~40-50% of hedging income in Hong Kong involves RMB, with STAN offering RMB capacity in 36 countries.

- In addition, corporate wealth demand is rising, as many Chinese companies raising funds through Hong Kong IPOs seek yield enhancement solutions for their capital before repatriation, and STAN is actively supporting these needs.

The art of balancing in cost discipline

- Management disclosed that compensation-related expenses accounted for half of the cost increase in 4Q25, but this reflects strong business performance. Technology spending is another significant component of costs, accounting for ~20% in general.
- Management reiterated a commitment to positive jaws, focusing on income growth outpacing costs, rather than considering cost on a standalone basis. Management guides for positive jaws in 2026, but noted that a permanently high jaw may signal underinvestment.
- The fit-for-growth (FFG) program focuses on tech-driven efficiency (e.g., cloud migration) rather than redundancies, and this would be an ongoing initiative, not bounded by the current program.

Colors on AI deployment

- STAN has seven key areas of AI deployment for productivity and income enhancement, though they are still in early stages. AI is used for analysis and simplification, with ambitions to screen out AML false alerts, though regulatory acceptance remains a hurdle.

Outlook for capital return

- The anchor CET1 ratio remains at 13-14%, but if the BOE capital review comes with a positive outcome, it could allow for a lower target.
- Over the past four years, STAN's DPS growth has exceeded EPS growth, and management expects this progressive DPS trend to continue.
- With the bank now trading above book value, dividends are as attractive as buybacks. Management does not anticipate a steep increase in payout ratio, preferring a progressive approach. STAN will give more granularity of the medium-term capital return plan in the Investor Day in May.

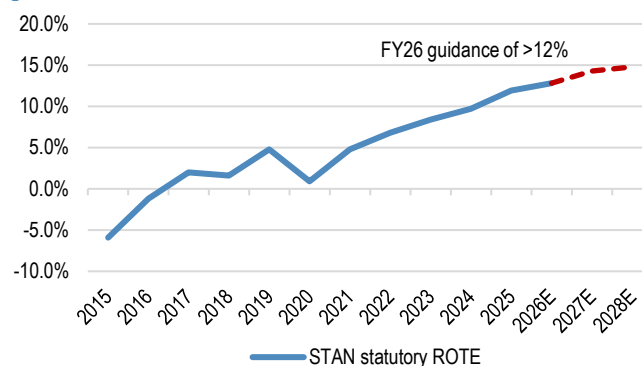
Option value of Ventures yet to be reflected in valuation

- Management pointed out that Ventures like Mox and Trust are underappreciated, but believe they offer a unique segmentation and option value. Mox targets a younger demographic (average age 25-35) in Hong Kong compared to the Group (average age ~50). Trust has achieved significant penetration of ~20% population in Singapore.
- The digital asset custodian business (Zodiac Custody) enjoys a first-mover advantage and strong institutional demand, creating synergies across business lines.

Wealth and FM to drive for non-NII business

STAN guided for FY26 stated ROTE of 12% or above; we forecast stated ROTE rising to 14.8% by end-2028. This is primarily driven by revenue growth of 5% each year in 26e/27e/28e, while OPEX increases are contained at 0%/0%/3%, respectively, indicating positive jaws. Non-NII remains the key revenue driver.

Figure 1: STAN's statutory ROTE is on a progressive trend in the last 10 years, towards the guidance of >12% in FY26



Source: Company data, J.P. Morgan estimates.

Cyclical uncertainties will not dampen the wealth growth outlook

Structural factors underpin wealth income growth, including strong client demand for geographic and asset class diversification across markets, as well as yield-seeking demand from Mainland Chinese clients. STAN reported \$52bn of affluent net new money (NNM) in 2025, equivalent to ~14% of affluent AUM. Management noted stable vintage trends, with certain quarters of lag time between new account opening and accounts being fully funded. With 276k new affluent accounts opened in 2025 (140k in 2H25), there is solid support for 2026 wealth income. While cyclical factors such as RMB appreciation, the revival of China's equity market, and a weak US equity outlook may partially offset these structural positives, we expect double-digit growth in Wealth Income. Specifically, we forecast 18% growth in 2026, slightly below 24% in 2025, but remaining at elevated level.

Table 4: Summary of key wealth business metrics

In US\$ bn unless otherwise specified	2021	2022	2023	2024	2025
Deposits	475	462	469	464	530
Deposits y/y growth	8.0%	-2.7%	1.7%	-1.1%	14.1%
Affluent new-to-bank clients (in thousands)	NA	162	262	265	276
NTB clients y/y growth	NA	NA	61.7%	1.1%	4.2%
Net-new-money	NA	19	29	44	52
NNM y/y growth	NA	NA	53%	52%	18%
% of deposits within NNM	NA	NA	52%	52%	54%
Affluent AUM	255	258	272	367	447
Affluent AUM y/y growth	6%	1%	5%	35%	22%

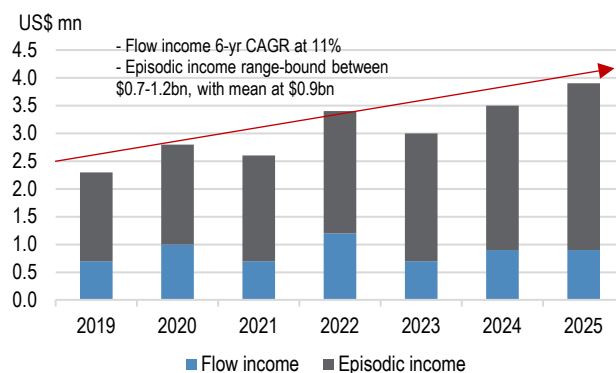
Source: Company data.

Examining key drivers for FM income

There are two main structural drivers: (1) rising corporate demand for market and supply chain diversification, creating new business opportunities; and (2) acceleration in RMB internationalization, as highlighted in Table 5. With STAN's established network in Asia and Africa, the bank is well positioned to capture these opportunities. For example, management noted that ~40% of hedging income from its largest dealing room is RMB-related.

In 2026, there is cyclical tailwind as well. STAN sees rising demand from corporate wealth management, driven by robust HK IPO activity (**Error! Reference source not found.**), as companies seek yield on newly raised funds before repatriation to Mainland China. STAN's FM flow income has grown at an 11% CAGR since 2019, reaching 15% in 2025, and we expect double-digit growth to continue in 2026.

Figure 2: 12-month rolling of flow income and episodic income – flow income is growing at 11% CAGR from 2019 to 2025



Source: Company data. Note: On a 12-month rolling basis.

Table 5: Key policy developments on RMB internationalization since 2025

Time	Key policy enhancements	Details
Mainland China		
Jun-25	CSRC expanded investment scope under QFI	- New commodities futures and options since 20 Jun 2025 - ETF options starting 9 Oct 2025
Sep-25	PBoC, CSRC, and SAFE jointly announced the opening-up of onshore repo market to all foreign investors that have onshore cash bond trading activities	- All foreign investors under any access schemes will now be eligible to access China's onshore interbank repo market - Newly eligible investors include CIBM/QFI investors outside of the following 'three types' (i.e. public sector investors, clearing banks, OPBs – offshore participating banks), and all Bond Connect investors
Hong Kong		
Jan-25	HKMA and PBOC announced new measures to deepen financial market connectivity between Hong Kong and the Mainland and consolidate Hong Kong's status as the global offshore RMB business hub	- Introduction of the HKMA RMB Trade Financing Liquidity Facility (RMB TFLF). Total size of Rmb100bn, and offering 1m, 3m, 6m RMB funds, with interest rates referencing onshore interest rates plus a spread - Further enhancement and expansion of Bond Connect (Southbound) - Allow offshore RMB repo business using Northbound Bond Connect bonds as collateral - Inclusion of Northbound Bond Connect bonds as eligible margin collateral at OTC Clearing Hong Kong Limited (OTCC) - Development of cross-boundary payment facilitation for the linkage of faster payment systems in the Mainland and Hong Kong (IBPS and FPS)
Jun-25	HKEX announced Swap Connect Enhancements	- Since Jun 2025, extend the tenor of the onshore IRS contracts to 30 years - IRS contract uses Loan Prime Rate (LPR) as reference rate
Sep-25	Hong Kong government mentioned in its 2025 policy address that it will issue more RMB-denominated government bonds, and study to pay for government expenditures in RMB.	NA
Sep-25	SFC and HKMA jointly announced a roadmap to advance HK's vision to be global fixed income and currency hub	- This includes the Initiative to broaden offshore RMB usage, and enhance connect schemes to increase offshore RMB liquidity and related product offerings. - The Hong Kong government committed to: 1) develop a market-based CNH yield curve, especially on the long-end; 2) promote the usage of RMB in direct-cross FX transactions with other currencies; 3) further promote dual counter stock listing/trading (RMB and HKD); 4) to soon launch the offshore CGB futures; and 5) broadening the usage of RMB as a funding currency.
Sep-25	HKMA announced a 3-phase plan to enhance HK's longer-term RMB liquidity facility to support wider usage of RMB	- The RMB trade financing liquidity facility (RMB TFLF) will be replaced by a new and broader scheme called the Renminbi Business Facility (RBF) - Geographically, funds can be used not only in HK, but can also be on-lent to the banks' overseas intragroup entities - Functionally, funds can be used for not only trade financing activities, but also cover FDI/ODI/general working capital purpose
Sep-25	HKMA announced enhancement of the existing short-term RMB liquidity facility	- The funds available under the current intraday and overnight facilities will be re-allocated -> Intraday facility capacity will be raised to RMB 30bn from RMB 20bn; interest rate = the average of most recent 3 TMA overnight CNH HIBOR rates -> Overnight facility capacity will be cut to RMB 10bn from RMB 20bn; interest rate = the average of most recent 3 TMA overnight CNH HIBOR rates + 25bps -> Total size of RMB 40bn remains unchanged - Longer-tenor funds will become available -> 2-Week and 1-month funding will become available, in addition to one-day and 1-week -> Interest rate = 'prevailing market interest rates'

Source: HKMA, HKEX, CSRC, PBOC, SAFE, J.P. Morgan.

Deposits growth to drive NII

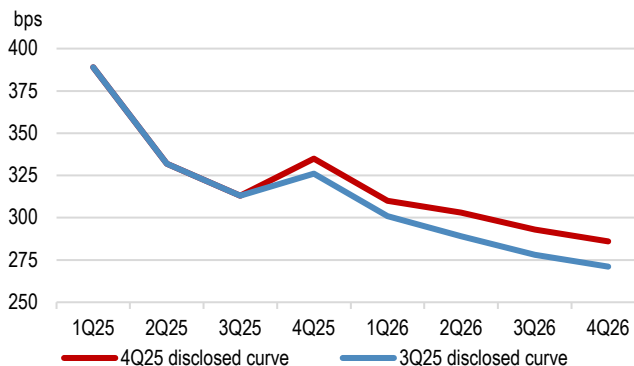
The average rates for FY26 implied by STAN's latest-disclosed multi-currency blended yield curve has shifted down by 13bps vs the one published in 3Q announcement (Figure 3). The latest curve implies a 44bps rate cut in 2026. Based on STAN's published sensitivity, every 100bps downward shift in yield curve reduces NII by \$620mn or drag NIM by 11bps; thus, a 44bps cut will lower NIM by c5bps. We assume an additional c4bps NIM contraction from the disposal of unsecured personal loan in 2026. Nevertheless, we believe margin contraction will be offset by volume growth, resulting in flattish NII for 2026. STAN continues to gain loan and deposit market share in Hong Kong, and management expects this trend to persist. We expect gross loan growth to be 4% in 2026, slowing down from 5% underlying growth in 2025, but an improvement in quality loan demand could lead to upside to NII, as loans carry higher yields than other assets.

Table 6: NIM sensitivity of STAN for every 100bps of yield curve shift

US\$ mn	STAN
FY26 NII	11,205
FY26 revenue	21,948
NII as % of total revenue	51%
Fwd 12M NII sensitivity to -100bps parallel shift of yield curve (banking NII for HSBC)	-620
FY26 revenue impact	-2.8%
FY26 NIM impact to -100bps parallel shift	-11 bps
Positive offset from hedging portfolio	0 bps
Net FY26 NIM impact	-11 bps

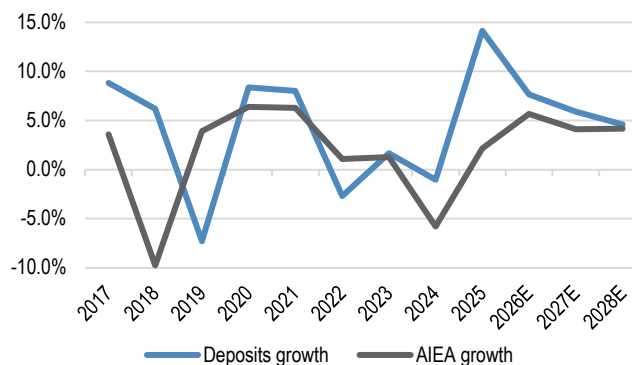
Source: Company report.

Figure 3: STAN's currency-weighted yield curve implies 44bps decline in rates in FY26



Source: Company report. Note: 3Q25 disclosed curve was as of 15 Oct 2025, and 4Q25 disclosed curve was as of 6 Feb 2026

Figure 4: Deposit growth and AIEA growth of STAN



Source: Company data, J.P. Morgan estimates.

Total return and book compounding to offer mid-teens upside annually

We forecasted ~35% of dividend payout ratio and \$2bn of share buyback each year from 2026 to 2028 respectively. This implies total return to be ~7% per year, with dividend and buyback accounting for 74%/69%/66% of profits in 26e/27e/28e. There could be upside risks to total return, as the 2028e CET 1 ratio will be 14%, or 13.6% post 4Q28 announced buyback and div, vs company guided range of 13%-14%. And results of the BOE review on capital could be another tailwind.

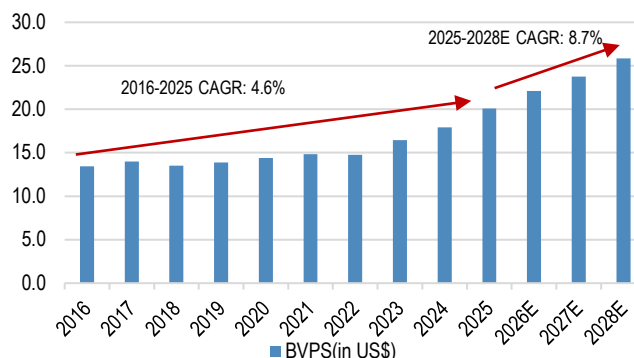
Table 7: Summary of total return of STAN

In US\$mn	2024	2025	2026E	2027E	2028E
DPS (in \$)	0.37	0.61	0.80	0.96	1.08
Dividend	941	1,431	1,748	2,015	2,181
Buyback	3,000	2,800	2,000	2,000	2,000
Total shareholder return	3,941	4,231	3,748	4,015	4,181
Dividend yield	1.6%	2.5%	3.1%	3.5%	3.8%
Buyback yield	5.2%	4.9%	3.5%	3.5%	3.5%
Total return yield	6.9%	7.4%	6.6%	7.0%	7.3%
Underlying attributable profit	3,593	4,558	5,042	5,842	6,328
Total payout ratio	110%	93%	74%	69%	66%
CET1 ratio	14.2%	14.1%	13.8%	13.9%	14.0%

Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P. Note: Yield calculated based on 27 Feb 2026 market cap.

With total return of ~7% and BVPS CAGR of ~9% from 2025 to 2028e, we believe this will be key support for share performance.

Figure 5: BVPS growth of STAN



Source: Company data, J.P. Morgan estimates.

Key estimate changes

- We forecast FY26E NII of \$11.2bn and flat y/y with deposits/loan growth of 8%/4% offset by interest rate reductions (c44bps reduction in the Group's currency weighted curve with every 100bps parallel reduction worth \$620m), a normalisation of pass-through rates (with every 1% beta worth c\$30m annl.), and portfolio disposals worth c2% of NII. We forecast NII growth of +2%/+4% in FY27/28E as interest rate pressures ease alongside continued volume growth.
- We forecast non-NII growth of +11% in FY26E with Wealth Mgmt +18% y/y supported by net new money growth of +13% largely in Wealth products, Markets +7% y/y with Flow income +10% y/y, and Banking +7% y/y. In outer years, we expect non-NII growth to taper to +8%/+6% in 27/28E, driving total revenue CAGR of 5%/y 25-28E.
- We forecast stated costs of \$13.3bn 26E, in line with guidance. In 27E, we a broadly flat cost base with a reduction of CTA costs of \$0.6bn and in-year cost savings of \$0.3bn offset by business growth, increased investments and inflation.
- As a result, we have increased our EPS estimates by 5%/2%/2% in 2026-28 respectively and revised up our Dec-26 PT to HK\$270 from HK\$265.

Table 8: Summary of key estimate changes

	FY26E new	FY26E old	% Δ	FY27E new	FY27E old	% Δ	FY28E new	FY28E old	% Δ
Net Interest Income	11,205	10,921	3%	11,451	11,265	2%	11,927	11,718	2%
Non Interest Income	10,743	10,543	2%	11,652	11,180	4%	12,368	11,815	5%
Total Income	21,948	21,464	2%	23,103	22,445	3%	24,296	23,533	3%
Operating Costs	-13,305	-12,400	7%	-13,325	-12,722	5%	-13,706	-13,053	5%
Pre Provision Operating profit	8,643	9,064	-5%	9,778	9,723	1%	10,590	10,480	1%
Loan Impairments	-903	-891	1%	-1,032	-1,045	-1%	-1,160	-1,177	-1%
Other Impairments	-20	-20		-20	-20		-20	-20	
Income from Associates	69	104	-33%	67	102	-35%	65	101	-36%
PBT (ex one offs)	7,789	8,256	-6%	8,793	8,761	0%	9,474	9,384	1%
Exceptionals (restructuring and litigation)	0	-750		0	-100		0	-100	
PBT	7,789	7,506	4%	8,793	8,661	2%	9,474	9,284	2%
Tax expense	-2,181	-2,102	4%	-2,374	-2,365	0%	-2,558	-2,534	1%
Post tax profit	5,608	5,405		6,419	6,295		6,916	6,751	
Minority interest and AT1	-13	-18		-13	-18		-13	-18	
Preference Dividends	-553	-575		-564	-587		-576	-599	
Profit attributable	5,042	4,811	5%	5,842	5,691	3%	6,328	6,134	3%
Stated diluted EPS	2.27	2.17	5%	2.73	2.67	2%	3.08	3.00	2%
DPS	0.80	0.85	-6%	0.96	0.95	0%	1.08	1.07	1%
Buybacks (m)	2000	2000		2000	2000		2000	2000	
NAVps	18.6	18.7	-1%	20.2	20.2	0%	22.1	22.0	0%
RoNAV	12.8%	13.5%		14.3%	14.2%		14.8%	14.7%	
CET1 ratio FL	13.8%	13.9%		13.9%	14.0%		14.0%	14.1%	
Loan impairments rate (on all loans inc. FVTPL)	0.25%	0.25%	0bps	0.28%	0.28%	-1bps	0.30%	0.31%	-1bps
Loans	363,683	361,776	1%	378,551	376,140	1%	394,284	391,258	1%
Loan growth	4.0%	3.0%	105bps	4.1%	4.0%	12bps	4.2%	4.0%	14bps
NPL ratio	2.0%	2.0%	-4bps	2.0%	2.0%	-5bps	1.9%	2.0%	-5bps
Cost of Risk (loan impairment/avg assets)	-10bps	-10bps	0bps	-11bps	-11bps	1bps	-11bps	-12bps	1bps
Credit cost (loan impairment/avg gross)	-25bps	-25bps	0bps	-28bps	-28bps	1bps	-30bps	-31bps	1bps

Source: J.P. Morgan estimates.

Table 9: Summary of JPMe vs company compiled consensus

In US\$mn	JPM estimates			
	2025	2026E	2027E	2028E
Net interest income	11,185	11,205	11,451	11,927
Non interest income	9,709	10,743	11,652	12,368
o.w. Wealth	3,086	3,637	4,095	4,579
o.w. Markets	3,863	4,124	4,330	4,503
o.w. Others	2,760	2,983	3,226	3,286
Operating income	20,942	21,948	23,103	24,296
Operating expense	(13,304)	(13,305)	(13,325)	(13,706)
Pre-provision profit	7,638	8,643	9,778	10,590
Loan loss provision charge	(737)	(923)	(1,052)	(1,180)
Operating profit before tax	6,901	7,720	8,726	9,409
Associate income	62	69	67	65
Pre-tax profit	6,963	7,789	8,793	9,474
Tax charge	(1,866)	(2,181)	(2,374)	(2,558)
Net profit after tax	5,097	5,608	6,419	6,916
Net profit attributable	4,558	5,042	5,842	6,328
y/y growth				
Net interest income	1.0%	0.2%	2.2%	4.2%
Non interest income	12.8%	10.6%	8.5%	6.2%
o.w. Wealth	23.9%	17.8%	12.6%	11.8%
o.w. Markets	12.0%	6.7%	5.0%	4.0%
o.w. Others	16.7%	8.1%	8.2%	1.8%
Operating income	6.2%	4.8%	5.3%	5.2%
Operating expense	-4.1%	0.0%	0.1%	2.9%
Pre-provision profit	9.4%	13.2%	13.1%	8.3%
Loan loss provision charge	-20.7%	25.3%	14.0%	12.2%
Operating profit before tax	17.6%	11.9%	13.0%	7.8%
Pre-tax profit	17.6%	11.9%	12.9%	7.7%
Net loan	286,788	298,353	310,550	323,457
Total deposits	530,161	570,805	604,501	632,344
Reported NIM	2.03%	1.93%	1.89%	1.89%
Credit costs (on gross loans)	0.20%	0.25%	0.28%	0.30%
CET1 ratio	14.1%	13.8%	13.9%	14.0%
Statutory ROE	10.0%	11.0%	12.3%	12.8%
Statutory ROTE	14.7%	12.8%	14.3%	14.8%
Dividend declared	1,431	1,748	2,015	2,181
Share buyback	2,800	2,000	2,000	2,000
Total shareholder return	7.4%	6.6%	7.0%	7.3%

Source: J.P. Morgan estimates. Note: On statutory basis, except for FY25 y/y, which is on underlying constant currency basis.

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) *(Overweight; Price Target: HK\$270.00)*

Investment Thesis

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast c5% revenue growth CAGR across '25-28E driven by non-NII in 26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26E y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at a c3.5% CAGR 25-28E as we expect growing investments in the future to capitalise on productivity and revenue opportunities, with positive operating leverage expected annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to c15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y. Maintain OW.

Valuation

Our Dec-26 PT of HK\$270 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 11.9% and a cost of capital of 9.3%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	11,096	11,185	11,205	11,451	11,927	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168
Interest expense	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872
Net interest income	11,096	11,185	11,205	11,451	11,927	Net loans	281,032	286,788	298,353	310,550	323,457
Non interest income	8,305	9,709	10,743	11,652	12,368	PP&E	2,425	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	5,791	6,231	6,418	6,610	6,809
o/w Trading income	0	0	0	0	0	LT investments	404,628	468,699	494,372	521,350	549,911
Net revenues	19,401	20,894	21,948	23,103	24,296	Other assets	48,772	48,772	48,772	48,772	48,772
Non interest expense	(11,790)	(12,347)	(13,305)	(13,325)	(13,706)	Total assets	849,688	919,955	957,380	996,748	1,038,413
o/w Employee costs	-	-	-	-	-	Interest earning assets	400,674	407,310	419,248	431,831	445,134
Pre-Prov. Profits	7,611	8,547	8,643	9,778	10,590	Deposits	464,489	530,161	570,805	604,501	632,344
Provisions	(1,145)	(718)	(923)	(1,052)	(1,180)	Borrowings	66,359	67,907	67,730	67,550	67,366
Adj. PBT	6,516	7,900	7,789	8,793	9,474	Other liabilities	274,058	274,829	270,462	274,401	286,109
Income taxes	(1,972)	(1,866)	(2,181)	(2,374)	(2,558)	Total liabilities	804,906	872,897	908,998	946,452	985,820
Minority interest	8	(12)	(13)	(13)	(13)	Shareholder equity	44,388	46,593	47,917	49,831	52,128
Adj. Net profit	3,930	5,244	5,042	5,842	6,328	Minority interests	394	465	465	465	465
PPOP per share	2.99	3.66	3.93	4.64	5.22	Total liabilities and Shareholder equity	849,688	919,955	957,380	996,748	1,038,413
Reported EPS	1.38	1.90	2.27	2.73	3.08	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.51	2.18	2.27	2.73	3.08	Book Value Per Share	18.43	20.74	22.32	24.11	26.24
DPS	0.37	0.61	0.80	0.96	1.08	Tangible Book Value Per Share	14.99	16.77	18.45	19.89	21.72
Diluted shares outstanding	2,610	2,404	2,218	2,138	2,058						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	60.5%	54.1%	52.3%	51.4%	51.2%	Loan loss reserves/Loans	(1.4%)	(1.1%)	(1.0%)	(1.0%)	(1.0%)
Investment/Assets	45.7%	49.4%	51.3%	52.0%	52.6%	NPLs/Loans	2.2%	2.1%	2.0%	2.0%	1.9%
Loan/Assets	34.6%	32.6%	31.6%	31.6%	31.6%	Loan loss reserves/NPLs	61.6%	57.8%	51.8%	51.8%	51.8%
Customer deposits/Liabilities	57.7%	60.7%	62.8%	63.9%	64.1%	NPL y/y growth	(14.2%)	(3.9%)	1.0%	2.0%	2.0%
LT debt/Liabilities	8.1%	8.0%	7.6%	7.3%	7.0%	Tier 1 ratio	16.9%	16.6%	16.6%	16.5%	16.5%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	1.9%	1.9%	1.9%	Return on equity (ROE)	8.8%	11.5%	10.7%	12.0%	12.4%
Non interest income/Net revenue	42.8%	46.5%	48.9%	50.4%	50.9%	Return on assets (ROA)	0.5%	0.6%	0.5%	0.6%	0.6%
Non interest income/Avg. Assets	1.0%	1.1%	1.1%	1.2%	1.2%	Operating ROA	0.8%	0.9%	0.8%	0.9%	0.9%
Efficiency ratio	60.8%	59.1%	60.6%	57.7%	56.4%	Pre-Tax ROA	0.8%	0.8%	0.8%	0.9%	0.9%
Leverage ratio	5.0%	4.9%	4.8%	4.8%	4.8%	Pre-Provision ROA	0.9%	1.0%	0.9%	1.0%	1.0%
Revenue/Assets	2.3%	2.4%	2.3%	2.4%	2.4%	Tax rate	32.8%	26.8%	28.0%	27.0%	27.0%
RORWA	1.6%	2.1%	1.9%	2.1%	2.2%						
						Net loans y/y growth	(2.1%)	2.0%	4.0%	4.1%	4.2%
RWA	247,065	258,031	269,862	282,227	295,219	Assets y/y growth	3.3%	8.3%	4.1%	4.1%	4.2%
Avg. RWA	245,608	252,548	263,947	276,045	288,723	RWA y/y growth	1.2%	4.4%	4.6%	4.6%	4.6%
Avg. IEA	407,963	403,992	413,279	425,540	438,483	Deposits y/y growth	(1.1%)	14.1%	7.7%	5.9%	4.6%
Gross Loans	285,936	290,849	302,454	314,734	327,724	Net interest income y/y growth	8.2%	0.8%	0.2%	2.2%	4.2%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	11.6%	7.7%	5.0%	5.3%	5.2%
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	Adj. EPS y/y growth	25.3%	44.9%	4.2%	20.2%	12.5%
NPLs	6,203	5,964	6,024	6,144	6,267	BVPS y/y growth	9.4%	12.5%	7.6%	8.0%	8.8%
P/BV (x)	1.4	1.2	1.1	1.1	1.0	IE assets/Assets	48.8%	45.7%	44.0%	43.6%	43.1%
Adj. P/E (x)	16.8	11.6	11.2	9.3	8.3	Margins (as % of Avg. Assets)	1.3%	1.3%	1.2%	1.2%	1.2%
Dividend yield	1.5%	2.4%	3.1%	3.8%	4.2%	LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)	(0.4%)
Dividend payout	26.9%	32.3%	35.0%	35.0%	35.0%	Equity/Assets	5.3%	5.1%	5.0%	5.0%	5.0%
						Cost/Assets	1.4%	1.4%	1.4%	1.4%	1.3%
						Assets/Equity	18.8	19.5	19.9	20.0	20.0

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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Coverage Universe: Lei, Katherine : Agricultural Bank of China - A (601288.SS), Agricultural Bank of China - H (1288.HK), Bank of China - A (601988.SS), Bank of China - H (3988.HK), Bank of Communications - A (601328.SS), Bank of Communications - H (3328.HK), China Cinda Asset Management Co Ltd (1359) (1359.HK), China Citic Bank - A (601998.SS), China Citic Bank - H (0998.HK), China Construction Bank - A (601939.SS), China Construction Bank - H (0939.HK), China Everbright Bank - A (601818.SS), China Everbright Bank - H (6818.HK), China Merchants Bank - A (600036.SS), China Merchants Bank - H (3968.HK), China Minsheng Banking - A (600016.SS), China Minsheng Banking - H (1988.HK), Futu Holdings (FUTU), HSBC Holdings plc (0005) (0005.HK), HashKey (3887.HK), Huaxia Bank - A (600015.SS), Industrial Bank - A (601166.SS), Industrial and Commercial Bank of China - A (601398.SS), Industrial and Commercial Bank of China - H (1398.HK), Lufax Holding (LU), Ping An Bank - A (000001.SZ), Postal Savings Bank of China (1658) (1658.HK), Qfin Holdings (QFIN), Shanghai Pudong Development Bank - A (600000.SS), Standard Chartered Plc (HK) (2888) (2888.HK)

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